Fundamentals Of Financial Management

English section

4.TH YEAR

2025 - 2026

Dr: Elsayed Maher Khalaf

Lecturer - Business Administration Department

Faculty of Commerce

University of Sadat City

Fundamentals Of Financial Management

Brief Contents

Chapter One

Nature of Financial Management

Content

- What is Financial Management (F.M.)?
- The Role of the Financial Manager.
- Importance of Financial Management.
- Objectives of Financial Management.
- Functions of Financial Management.

Introduction

The concept of the financial function witnessed a significant development during the second half of the twentieth century, specifically since the mid-fifties, and this development was inevitable as a result of the conditions and challenges faced by business organizations, which were represented by the expansion of competition, the increase in inflation, and the tremendous technological progress, in addition to concrete government intervention, in the field of business and economic affairs in general.

The financial function emerged at the beginning of the twentieth century and was concerned with the legal aspects of securities issuance.

Since the beginning of the eighties until now, more attention has been paid to a number of important issues such as inflation and its relationship to interest rates, the emergence of money companies in Egypt, modern technology, advanced communications and the use of computers in the analysis of financial decisions.

Characteristics of financial decision makers.

Highly competent financial decision makers share several personal traits that can be summarized as follows:

(a) Broad-mindedness:

The decision-making process depends on comparing the available alternatives and selecting the best of these alternatives, and the good selection process depends on the clarity of vision and broadness of the horizon of the financial manager, especially for the available investment opportunities.

(b) Dissatisfaction:

The more dissatisfaction management leaders have with current circumstances, the more motivated they will be to create, innovate and create.

(c) Sensitivity:

by which we mean the extent to which the manager is aware of the environmental influences, conditions and variables that occur and the importance of interacting with them.

(d) Taking advantage of opportunities:

by which we mean the extent to which the manager is able to be flexible and adapt to new opportunities as soon as they arise and how to take advantage of them from the very beginning.

(e) Innovation:

where the manager follows new, innovative and non-traditional methods of making sound financial decisions.

FINANCIAL MANAGEMENT

(f) Meet the challenge:

Some managers tend to be challenging in actions that arouse interest and demonstrate abilities and possibilities in various difficult situations.

(g) Future outlook:

It is linked to the ambition of the manager and his aspirations for the future through insight surrounded by a great deal of optimism and hope.

(h) Intellectual generosity:

by which we mean the use and benefit of the opinions and experiences of others, continuous consultation and exposure to all available intellectual approaches, which leads to the availability of the greatest amount of information, opinions and ideas of wisdom.

(i) Ability to evaluate:

An effective manager must constantly question the usefulness of the work he performs and what positive results are expected of it. so that he is always in the position of evaluation for evaluation, reform or modification, improvement and continuous development.

(j) Courage and boldness:

The manager must have a certain willingness to take risks and the desire to do certain actions that are courageous and bold for a distinguished work. that is not a normal or traditional routine, and as we know that the higher the degree of risk, the greater the return.

3- Importance of Financial Management.

Financial management is important in construction industry, civil industry, food industry, tourism industry, business and corporate environment. Here we will see what is the importance of financial management in points mentioned below:

(1)Financial Planning:

Financial management its importance is financial planning. It decides each financial necessity associated with business concern. Also, financial planning associates need to take prompts and correct measures instead of worries in later stage of financial management life-cycle of a company.

(2) Safeguarding / Protecting Funds:

Importance of financial management include protecting finance towards achieving business goals. One has to measure the areas where funds are required and allocate it well in all the areas for smooth functioning of business.

(3) Allocation of Funds:

Importance of financial management in an organization is to allocate funds appropriately. When making proper use of allocated finance to assets enhance the operational proficiency for the business concern.

(4) Investment Opportunities:

As a person, if you are good at managing your finance and saving then you get opportunities to explorer investment. Investment opportunities will assist you in creating wealth so that you can enjoy your retirement period.

(5) Financial Decision:

Its importance of financial management points is financial decision. Once financial choice according to the business concern has made, it cannot be rewind. As finance once spend will not be repaid again for any wrong decision made. Financial selection might impact the whole business operation.

(6) Economic Growth and Stability:

Proper financial planning will ensure your economic growth. Gradually you will expand your wealth creation which will help you to grow financially. Important thing in someone's life is financially stability. Only way to ensure your financial stability is through economic growth and only option to ensure the same is through financial management.

(7) Improve Standard of Living:

Once you have learned and taken good knowledge on financial management, this will not only provide you financial stability and peace of mind but also it will improve your standard of living. Your economic growth will transform into better standard of living.

(8) Valuation of a Company:

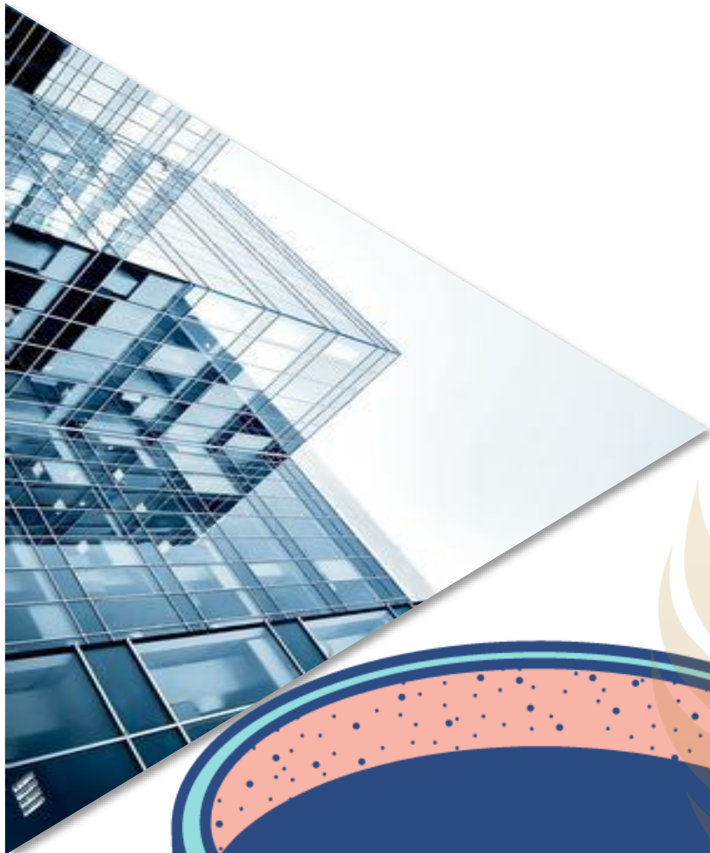
Importance of financial management in an organization in the area of enlarging the variety of speculators and the business concern. Extreme point concerning of any business is that they will achieve maximum gain with greater efficiency. It may be related to increasing production or expanding business to other countries. A great management and financial specialists can assist in improving valuation of any company.

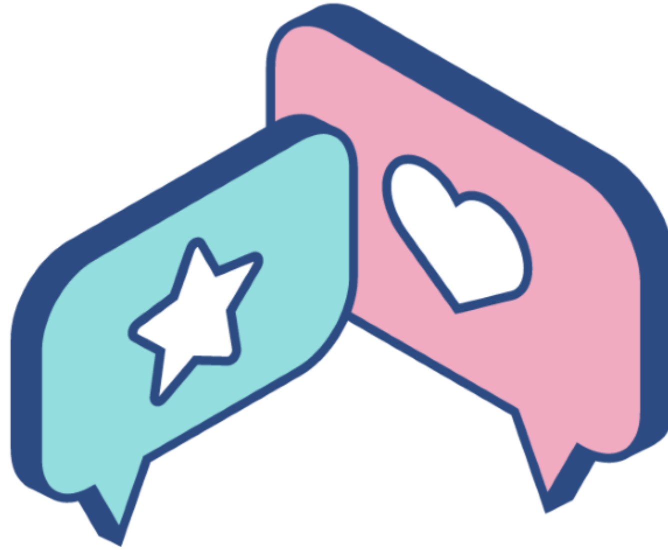
(9) Tax Planning:

Your financial planning should also include your tax planning. When failing to plan your taxes appropriately, it will lead you spend more out of your pocket.

(10) Capital Reserves:

Money have always been imaginable and possible really when the business earning rises to higher levels and expansion arises. Here is an importance of financial management in success of business by ways of expanding as well as creating capital reserves in the book of company’s accounts.





Thanks

For

Listening